

ECONOMY / FINANCIAL AWARENESS



**INSOLVENCY
AND
BANKRUPTCY
CODE**

**MUTUAL
FUNDS**

BANK PO / LIC / SSC / GENERAL

MODULE - 9

- GOLD BOND SCHEME
- GOLD MONETISATION SCHEME
- SMALL SAVINGS SCHEMES



Bonds are sold through offices or branches of Nationalised Banks, Scheduled Private Banks, Scheduled Foreign Banks, designated Post Offices, Stock Holding Corporation of India Ltd. (SHCIL) and the authorised stock exchanges either directly or through their agents. This is to reduce the demand for physical gold, by shifting part of the physical bars and coins purchased every year for investment into gold bonds.

- These are issued by the Reserve Bank of India on behalf of Government.
- They are denominated in grams of gold.
- Investments can be done in multiples of one gram.
- Maximum limit is 4 kg for individual / HUFs and 20 kg for trusts and similar entities notified by the government from time to time per fiscal year.
- Resident Indians including individuals, HUFs, Trusts, Universities and Charitable Institutions are eligible to avail these bonds.
- The tenor of the bond is 8 years, exit option after 5th year.
- Fixed interest rate is 2.5% per annum, payable semi-annually.
- They can be used as collateral for loans.
- They are tradable in the stock exchanges.

GOLD MONETISATION SCHEME



Resident Indians i.e., Individuals, HUFs, Proprietorship & Partnership firms, Trusts including Mutual Funds / Exchange Traded Funds registered under SEBI, Companies, Charitable Institutions, Central Government, State Government can make deposits under the Scheme.

- This Scheme replaced the Gold Deposit Scheme, 1999.
- All designated banks will be eligible to implement the scheme.
- All deposits under the scheme shall be made at the Collection and Purity Testing Centre (CPTC).
- The minimum deposit at any one time shall be 30 grams of raw gold (bars, coins, jewellery excluding stones and other metals).
- There is no maximum limit for deposit under the scheme.





State Bank of India



ICICI Bank



SHORT TERM BANK DEPOSIT (STBD)

- The deposit of gold made under the GMS with a designated bank for a short term period of 1-3 years.
- The principal and interest on STBD shall be denominated in gold.
- The designated banks are free to fix the interest rates on these deposits.
- Redemption of principal and interest at maturity will be either in rupees or in gold. The option is given to the depositor at the beginning.





The periodicity of interest payment on these deposits is annual and shall be paid on 31st March every year. The redemption of principal at maturity shall be either in rupee equivalent of the value of deposited gold at the time of redemption, or in gold.

MEDIUM AND LONG TERM GOVERNMENT DEPOSIT (MLTGD)

- The deposit of gold made under the GMS with a designated bank in the account of the Central Government for a medium term period of 5-7 years or a long term period of 12-15 years or for such period as may be decided from time to time by the Central Government.
- In the case of MLTGD, the principal will be denominated in gold.
- However, the interest on MLTGD shall be calculated in Indian Rupees with reference to the value of gold at the time of the deposit.
- The deposit under this category will be accepted by the designated banks on behalf of the Central Government. It will be the liability of Central Government.
- The rate of interest will be decided by Central Government and notified by RBI.

POST OFFICE DEPOSITS

- Post Office Savings Account.
- Post Office Time Deposits (1,2,3 and 5 years).
- Post Office Recurring Deposits.
- Post Office Monthly Account.



SAVINGS CERTIFICATES

- National Savings Certificate (VIII Issue).
- Kisan Vikas Patra.



SOCIAL SECURITY SCHEMES

- Public Provident Fund.
- Senior Citizens Savings Scheme.
- Sukanya Samriddhi Account.

Senior Citizen Saving Scheme in India



SMALL SAVINGS SCHEMES

	July-Sep 2018	Oct-Dec 2018	Jan-Mar 2019 <i>Current rate (%)</i>	Section 80C tax deduction	Cumulative/ Payout	Tenure (years)	Variable [#] / Fixed rate ^{**}
Sukanya Samriddhi Yojana	8.1	8.5	8.5	Yes	Cumulative	21	Variable
Public Provident Fund	7.6	8.0	8.0	Yes	Cumulative	15*	Variable
National Savings Certificate	7.6	8.0	8.0	Yes	Cumulative	5	Fixed
Senior Citizens Savings Scheme	8.3	8.7	8.7	Yes	Quartely payout	5 ^A	Fixed
5-year Recurring Deposit	6.9	7.3	7.3	No	Cumulative	5	Fixed
Kisan Vikas Patra	7.3	7.7	7.7	No	Cumulative	112 months	Fixed
Post Office Monthly Income Scheme	7.3	7.7	7.7	No	Monthly payout	5	Fixed
Post Office Time Deposit							
• 5-year	7.4	7.8	7.8	Yes	Yearly payout	5	Fixed
• 3-year	6.9	7.2	7.0	No	Yearly payout	3	Fixed
• 2-year	6.7	7.0	7.0	No	Yearly payout	2	Fixed
• 1-year	6.6	6.9	7.0	No	Yearly payout	1	Fixed

*Can be extended in blocks of 5 years ^ACan be extended by 3 years [#]New rate each quarter will apply on entire corpus ^{**}Rate prevailing at time of investment will continue until maturity

NATIONAL SMALL SAVINGS FUND (NSSF)



The NSSF is administered by the Government of India, Ministry of Finance under National Small Savings Fund Rules, 2001, which is derived from Article 283(1) of the Constitution.

- National Small Savings Fund (NSSF) was established in 1999 within the Public Account of India for pooling the money from different SSSs.
- Collections from all small savings schemes are credited to the NSSF.
- Similarly, withdrawals under small savings schemes by the depositors are made out of this Fund.
- The money in the account are used by the centre and states to finance their fiscal deficit.
- The balance in the Fund is invested in Central and State Government Securities.
- As per the recommendations of the 14th Finance Commission, the Government has excluded states (except four states) from the use of Small Saving Scheme money.

SMALL SAVINGS SCHEMES

1 PUBLIC PROVIDENT FUND (PPF)



It is eligible for tax deduction under Section 80C. The accumulated interest and the final maturity amount are both fully exempt from taxes.

- It is one of the safest and most attractive long-term debt option.
- It is spread over a period of fifteen years.
- Every year, maximum investment is Rs. 1.5 lakh.
- Interest rates are revised every quarter.
- Minimum is Rs. 500 every year to keep the account active.
- You can take a loan against PPF balance.
- PPF account can be opened in any post office or financial institution such as SBI, HDFC Bank, ICICI Bank etc.
- Some of the banks allow opening of the account online.
- PPF account can be transferred.

SMALL SAVINGS SCHEMES

2 NATIONAL SAVINGS CERTIFICATE



**National
Savings
Certificates
(NSC)**



- For National Savings Certificates, interest rate prevailing at the time of investment holds till maturity.
- Minimum investment is Rs. 100, no upper limit.
- It has a five year lock-in period.
- It is compounded annually.
- Interest is paid only at the time of maturity.
- TDS is also not applicable for the scheme.
- They can be purchased at any post office.
- Investment under the scheme is eligible for tax deduction of up to Rs. 1.5 lakh under Section 80C of the Income Tax Act.
- The last year's interest alone is taxable in the hands of the taxpayer.



SMALL SAVINGS SCHEMES

3 POST OFFICE MONTHLY INCOME SCHEME (POMIS)



- It gives regular stream of monthly income.
- It can be operated from any post office.
- The tenure is five years.
- Interest is payable on a monthly basis.
- Minimum investment is Rs. 1,500.
- Maximum limit is Rs. 4.5 lakh in a single account and Rs. 9 lakh in a joint account.
- On the taxation front, POMIS does not enjoy any tax benefit, the interest is fully taxable.
- No Section 80C benefit is available on the amount invested.

SMALL SAVINGS SCHEMES

4 SENIOR CITIZEN SAVINGS SCHEME



- Senior Citizen Savings Scheme offers the highest interest, at present.
- The maturity is five years, maximum is Rs. 15 lakh.
- Interest is paid quarterly.
- Individuals aged 60 or more (those aged 55 to 60 allowed on superannuation or VRS) can open multiple SCSS accounts at various time periods, provided the total amount does not exceed Rs. 15 lakh.
- It can be extended by three years after maturity. Premature closure is also allowed on deduction of some penalty.





Sukanya Samriddhi Account

SMALL SAVINGS SCHEMES

5 SUKANYA SAMRIDDHI YOJANA

ELIGIBILITY & OTHER CONDITIONS



- If you are a parent or guardian of a girl child less than 10 years of age, you can open the account.
- Only one account can be opened for a girl child.
- Maximum it can be for two girls in a family.
- Interest rate can change every quarter.
- Compounding happens on a yearly basis.
- Minimum yearly investment is Rs. 250, the maximum is Rs. 1.5 lakh.
- The investments must be done every year for 15 years and the account matures on completion of 21 years from the date of opening.
- Interest will accrue in the account every year till maturity.
- You can make any number of deposits in a year.
- It enjoys the most favourable tax treatment of exempt-exempt-exempt.



SMALL SAVINGS SCHEMES

5 SUKANYA SAMRIDDHI YOJANA

WHAT ABOUT THE TAXATION AND OTHER ASPECTS?

- 1 Investment of up to Rs. 1.5 lakh a year is eligible for tax deduction under Section 80C.
- 2 Also interest earnings and maturity amount are exempt from tax.
- 3 This highly preferential tax treatment boosts the effective returns.
- 4 Partial withdrawal for higher education up to 50% is allowed, if the girl has turned 18 or has passed 10th standard, whichever happens earlier.
- 5 Closure of account and withdrawal for wedding is allowed after the girl turns 18.
- 6 The account can be opened at the authorised branches of the post office or commercial banks.



Sukanya Samriddhi Yojana (SSY)

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

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